

ROAD MAP TO INDIAN BIG 4

96,000 audit firms in India, of which about 400 have 10 or more partners. India's consulting industry too is on a sharp upward curve and is projected to grow to \$30 billion by 2030. While global majors continue to hold a significant share, the last decade has seen the steady rise of homegrown firms.

Large global firms have an advantage due to their scale of operations, global networks, capital and talent and are often preferred by large companies, both domestic and global.

This was also highlighted by a recent study by database *primeinfo-base.com* that revealed that the Big six Indian audit firms, BDO, Deloitte, EY, Grant Thornton, KPMG, and PwC, continue to dominate the Indian audit landscape. Together, they handled 326 assignments of the 483 Nifty-500 companies as on March 31, 2025, or two out of every three audits.

Over the years, some steps have been taken to help Indian firms build scale—such as the merger and demerger guidelines by ICAI and its more recent draft guidelines on overseas networking. Audit rotations and joint audits in the BFSI space have also opened new opportunities.

Experts and stakeholders believe more needs to be done.

Nilaya Varma, Group CEO, Primus Partners notes that Indian companies have the talent, the capability and the experience to compete and succeed when it comes to consulting, only a level playing field is necessary. “When it comes to audit, we once again have the expertise, experience and capability, but we do need government and institutional support for champion Indian firms in scaling up technology investments and expertise in audit process to effectively audit global businesses that are increasing underpinned by a technology and integrated IT systems for all financial systems and processes,” he says.

1 A meeting has been held in the PMO over scaling up domestic accounting firms on the lines of the Global Big Four

2 Chaired by Shaktikanta Das, the meeting is understood to have discussed regulatory hurdles and gaps and the possible need to set up a taskforce

3 Large global firms also have an innate advantage due to their sheer scale of operations, global networks, capital and talent



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Rakesh Nangia, Managing Partner at Nangia & Co, suggests opening of joint audits for more set of companies over time. “For instance, why can’t we have joint audits for more companies? Apart from the Big 4, there will be another 50 to 100 mid-sized domestic CA firms that will start competing,” he says.

Chandiok says there is a need to create demand and support the work of Indian audit firms. He adds there is a need for regulatory reforms to facilitate multidisciplinary partnerships, which will enable audit firms to bring on board any other professional as a partner, as well as enable CA firms to bring in capital.

However, Indian audit firms will also have to evolve and look beyond being family-owned firms. Nangia underlines that the industry is now gaining maturity. “There is some hesitancy, but when the door opens, it can lead to huge opportunities. The nature of business is changing today, and Indian CA firms need to evolve as well,” he says.

With a fresh round of audit rotations kicking off, India Inc is looking for new auditors. This could provide an impetus to Indian CA firms. The government has another six to seven months to take forward the pending reforms in this sector.

Chandiok says that the next six months are critical. “April 1, 2027 marks the second major round of mandatory audit firm rotation, and credible companies are already planning their auditor selections. More than 50% of the top-end market is expected to rotate firms—and once that window closes, the next opportunity won’t arise for another decade,” he says. Audit rotation has in fact been a big driver of change that has led to growth of domestic firms. There will be a lot of flux in the auditing landscape in the coming months. But whether this will have the desired impact will have to be monitored. **BT**

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